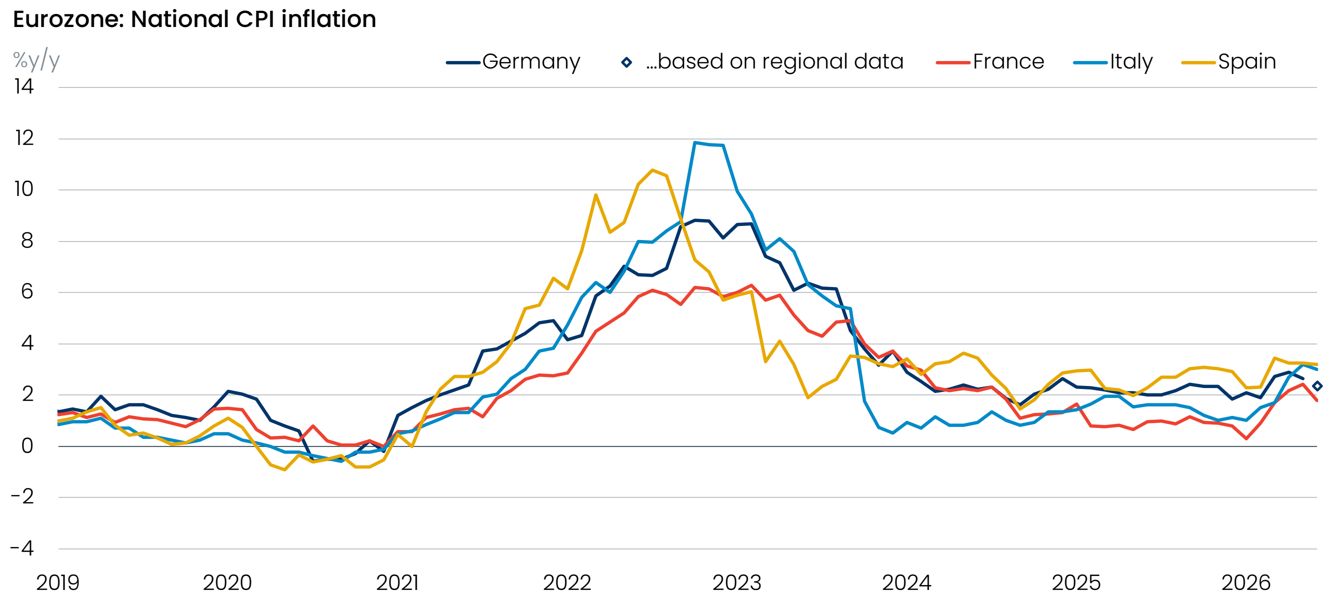
Lower June inflation supports our ECB hold call

- **Inflation retreated across all major Eurozone economies except Spain in June, with France seeing a particularly marked decline. Lower fuel prices following the US-Iran deal drove most of the move, while second-round effects still appear very limited at this stage, with core inflation slightly down across the board.**
- **National data suggests Eurozone inflation should come in at 2.9% y/y for June, down from 3.2% in May with core inflation also easing slightly. This substantially strengthens our call that the ECB will hold rates steady at its July meeting, opting to buy time before deciding on its next move.**
- **Meanwhile goods consumption rebounded in France in May. Although this mostly reflected payback from April's weather-related weakness rather than actual demand momentum, it should still help France avoid a technical recession in Q2.**

France's inflation fell sharply in June, dropping to 1.8% from 2.4% in May, with the decline broad-based across all components. Energy drove most of the slowdown, with petroleum products inflation falling following the US-Iran deal to reopen the Strait of Hormuz, while food inflation also edged lower. Services inflation retreated by 0.3ppt, likely helped by a fall in plane ticket prices, suggesting the transmission of the inflationary shock to the broader price basket remains very limited so far, amid feeble domestic demand. Manufactured products inflation fell further into negative territory, partly reflecting calendar effects, as June's data collection included more days of the summer sales period than last year. We think inflation should rebound slightly in H2, helped by base effects and the transmission of the shock to core inflation, especially following June's 2.4% minimum wage increase.

Chart 1: Inflation saw a broad-based retreat in June



Sources: Oxford Economics, Haver Analytics

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Inflation in Italy also inched down in June, coming in at 3% y/y, from 3.2% in May. Core inflation fell by 0.1ppt from May and remained slightly below 2%. The slowdown mainly reflected lower food inflation, along with milder price increases in services. In contrast with France and, likely, Germany, energy inflation accelerated, driven mostly by higher regulated energy prices.

Finally, Germany's state-level data suggest that national CPI inflation, which will be released later today, is likely to retreat to 2.3% y/y in June, down from 2.6% in May. The decline was likely mostly driven by lower energy inflation, with a minor easing in core inflation too. Inflation is likely to rebound from next month, however, as the temporary fuel-tax reduction expires in July.

Overall, inflation appears to have eased across all major Eurozone economies except Spain in June, with lower global oil prices pushing energy inflation down in the wake of the US-Iran deal. So far, there are few signs that the shock has passed through to other price components, with core inflation down across all four countries. National data suggest Eurozone inflation is likely to fall to 2.9% y/y in tomorrow's flash estimate, down from 3.2% in May. Lower headline inflation and, crucially, limited second-round effects, support to our view that the ECB is likely to stay put at its next meeting in July, opting for a one-and-done hiking cycle.

On the activity side, monthly goods consumption rebounded in May, expanding by 0.5% m/m and recouping most of April's 0.5% decline. The details suggest that underlying consumption momentum remains at best tepid, however. Most of May's rebound was driven by an increase in energy spending, which was largely technical following the particularly mild temperatures in April that limited the need for heating, while fuel consumption continued to decline. Meanwhile, spending on other goods categories was broadly flat, with a rebound in durables consumption offset by a decline in spending on other manufactured products. Still, the rebound in spending should help France avoid a technical recession in Q2, especially as other hard data, including April industrial production, have also shown resilience.

In Germany, retail sales rose 1.1% m/m in May, following a 0.4% m/m decline in April after data revisions. Petrol station sales rose owing to the fuel tax rebate. The strength extended to other goods too, with food and non-food retail advanced 1.1% and 1.0% m/m respectively.

Germany's labour market showed few signs of stress in June. The unemployment rate held steady at 6.3%, while the number of unemployed persons edged lower from May. This supports our view that the Iran shock will not trigger a meaningful rise in joblessness, with unemployment set to begin a very gradual decline from Q3.